

AP BUSINESS WITH PERSONAL FINANCE

Vocabulary Review Booklet

Units 1-5 | Complete Term Reference

- Unit 1 Business Fundamentals
- Unit 2 Marketing and Customers
- Unit 3 Financial Management
- Unit 4 Management and Strategy
- Unit 5 Personal Finance

AP BUSINESS WITH PERSONAL FINANCE

Vocabulary Review Booklet

Units 1-5 | Complete Term Reference

- Unit 1 Business Fundamentals
- Unit 2 Marketing and Customers
- Unit 3 Financial Management
- Unit 4 Management and Strategy
- Unit 5 Personal Finance

UNIT 1

Business Fundamentals

1

1.1 What Is a Business

Core Terms

#	Term	Definition
1	Business	An organization or entity that produces and distributes products (goods and/or services); can be any size, face-to-face or virtual.
2	Product	A good, a service, or both — what a business produces and distributes.
3	Goods	Tangible items (a candy bar, a phone, a desk).
4	Services	Work performed for compensation (a haircut, a tutoring session, a flight).
5	Revenue	Money earned from selling, before expenses.
6	Profit	What remains after all expenses are subtracted. (Profit = Revenue – Total Cost)
7	Customer	The individual or business that purchases a good or service.
8	Consumer	The individual who uses a good or service, whether or not they bought it.
9	Need	Something essential for survival (food, water, shelter, basic healthcare).
10	Want	Improves life without being essential (a Netflix subscription, new sneakers).
11	Market opportunity	A customer problem, need, or want that a business might address.
12	Problem-solution fit	The match between a customer problem and a product built to solve it.
13	Value	The worth or benefit of a product to customers (measured by the highest price they'd willingly pay).
14	Value creation	When a business provides a product that responds to customers' problems, needs, or wants.
15	Value capture	When a business charges a higher price than it cost to produce. (Value captured = Price – Cost)
16	Value proposition	A clear statement of how a product solves a customer problem and why choose it over alternatives.

1.2 Markets and Competitive Advantage

Core Terms

#	Term	Definition
1	Market	Any physical or virtual space where sellers interact with their buyers; can be local, regional, or global.
2	Voluntary exchange	A transaction in which both sides walk away better off — sellers earn revenue, buyers receive value.
3	Prevailing market price	The going price for a good or service in a competitive market that no individual seller can hold themselves above.
4	Competitive advantage	The ability to outperform rivals, leading to increased market share and potentially increased profits.
5	Market share	The portion of a market's total sales that one business controls.
6	Rival businesses	Businesses competing for the same customers in the same market.
7	Differentiation	Building products with distinguishing features that set them apart from competitors' offerings.
8	Barrier to entry	An obstacle that makes it difficult for new firms to compete in a market.
9	Monopoly	A market without competition, in which only one business operates and produces a unique good or service.
10	Cost leadership	A strategy of achieving competitive advantage by producing as efficiently as possible to charge the lowest price — common in commodity and agricultural markets where products are undifferentiated.

1.3 PESTEL Factors

Core Terms

#	Term	Definition
1	PESTEL	An acronym for the six kinds of outside forces that shape the business landscape: Political, Economic, Social, Technological, Environmental, Legal.
2	Viability	The ability to survive and stay successful in a market over time.
3	Political factors	Policies and political dynamics that affect market activity: trade policy, taxes, subsidies, mandates, bans, political stability.
4	Economic factors	Conditions of the economy itself: economic stability, household income, inflation, unemployment, interest rates.
5	Social factors	Trends in society and culture that affect consumers: demographics, cultural norms, lifestyle trends, population growth.
6	Technological factors	Features of a market tied to the availability of technology: internet access, automation, pace of innovation.
7	Environmental factors	External environmental conditions that promote or limit market activity: geography, access to resources, waste rules, customer attitudes toward the environment.
8	Legal factors	Specific laws, rules, and regulations that impact market activity: employment laws, consumer protection, health and safety rules, IP protection, antitrust laws.

1.4 How Business Ideas Originate

Core Terms

#	Term	Definition
1	Gap	A need or want that is not currently being met — an unmet need in a market. Can exist even when competitors are present, if a specific need goes unserved.
2	Opportunity	A new or better way to do something — often triggered by a change in technology, society, rules, or resources.
3	Existing business	What is already being sold in a market — a source of ideas through replication, adaptation, or improvement.
4	Replication	Copying a business model that works in one market and applying it in another — one of the most common sources of business ideas worldwide.
5	Observation	The skill of watching what people struggle with, complain about, or can't find — the primary way entrepreneurs discover gaps.
6	Risk	The chance that things will not go as planned — the possibility of unwanted outcomes like losing money, time, or effort. Can be managed but never fully eliminated.
7	Return	The gain (usually money) that an entrepreneur hopes to earn from a business. Never guaranteed.
8	Risk–return tradeoff	A situation where taking more risk gives the chance of a higher return, but also a higher chance of losing everything.
9	Viability	The ability to survive and stay successful in a market over time (carried forward from 1.3).
10	Entrepreneur	A person who takes on the risk of starting and running a business.
11	Entrepreneurial motivation	The reasons entrepreneurs bear risk, including potential profits, satisfaction of solving a problem, and pursuing a passion — not all motivation is financial.

1.5 Vision, Mission, and Values

Core Terms

#	Term	Definition
1	Core values	The defining beliefs and principles that guide an individual's or business's actions. Examples: creativity, excellence, transparency, empathy, reliability.
2	Core competencies	The capabilities, skills, and expertise that help an individual or business outperform rivals and achieve competitive advantage. Examples: innovation, customer service, communication, ethical behavior, efficiency.
3	Vision statement	A concise description of the future the business is trying to create — its aspirations and core values. Describes a future worth wanting, not the work.
4	Mission statement	Describes what the business does and how it will achieve its long-term goals. Describes the work — the operation, not the aspiration.
5	Business	An organization that seeks to achieve and increase profits, fulfill its mission/goals, and remain competitive and viable. Owners keep or reinvest profit.
6	Social enterprise	An organization that seeks profit while also, by design, achieving social objectives. Impact travels through products, operations, or financial model. Owners keep profit.
7	Nonprofit organization	An organization that serves the public good rather than generating profit for owners. Any surplus must be reinvested; no payment to owners.
8	Grant	Funding awarded for a stated purpose, usually by a government or foundation; earned by application, not by sale.
9	Donation	Money or resources given to an organization with no product attached in return.
10	Competitive advantage	The ability to outperform rivals in the same market, leading to increased market share and potentially profits. Core competencies feed competitive advantage.

1.6 Business Ethics

Core Terms

#	Term	Definition
1	Unethical behavior	Actions that violate moral or professional standards
2	Code of conduct	A written document outlining expected ethical behavior and standards
3	Training	Teaching employees to follow ethical guidelines through ongoing instruction and practice scenarios
4	Internal repercussion	A consequence imposed after an ethical transgression (warning, suspension, termination)
5	Modeling (ethical behavior)	A leader demonstrates ethical behavior in front of employees, so the standard is learned by observation
6	Incentive	A reward that encourages a particular action, offered before the behavior
7	Ethical dilemma	A situation where a core value conflicts with another core value or with a business goal or practice
8	Internal stakeholder	Individuals or groups with direct involvement in a business's operations, decisions, and outcomes
9	External stakeholder	Individuals or groups not directly employed or involved but with a vested interest in the business's decisions and outcomes
10	Brand loyalty	Ongoing customer preference for a business's products based on trust and positive experience

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Ethical dilemma	Unethical behavior	Both involve ethics — Dilemma = two sides with real trade-offs; unethical behavior = a specific wrong act (lying, hiding, taking)
2	Incentive	Internal repercussion	Both influence employee behavior — Incentive = reward BEFORE behavior (pulls toward); repercussion = consequence AFTER behavior (pushes back)
3	Modeling	Internal repercussion	Both involve a leader taking action — Modeling = leader DEMONSTRATES the standard; repercussion = leader PUNISHES a transgression
4	Internal stakeholder	External stakeholder	Both affected by business decisions — Internal = direct involvement in operations; external = vested interest only

#	Term A	Term B	Key Difference
5	Greatest total benefit	One-column total	Both involve adding numbers — Must sum across EVERY stakeholder group (internal + external); stopping at one column is the trap
6	Right decision + broken reason	Right decision + valid reason	Both reach the same verdict — A conclusion supported by "always" or "guarantee" is wrong reasoning even if the verdict is correct

1.7 Organization, Roles, and Responsibilities

Core Terms

#	Term	Definition
1	Sole proprietorship	A business with one owner who has full control, keeps all profits, and is personally liable for all debts
2	Partnership	A business with two or more owners who share control and profits and are personally liable for all debts
3	Limited liability company (LLC)	A business structure where owners retain control and profits but are shielded from personal liability
4	Corporation	A business structure owned by shareholders who cede control to an elected board of directors in exchange for greater access to funding
5	Personal liability	The owner's personal assets are at risk for business debts and obligations
6	Limited liability (liability shield)	Business owners are not personally responsible for business debts — only the business's assets are at risk
7	Organizational structure	The arrangement of roles, responsibilities, authority, and communication within a business
8	Department	A specialized functional unit within a larger business (e.g., accounting, marketing, operations)
9	Accounting	The department that tracks expenditures and earnings and prepares financial statements to monitor financial health
10	Finance	The department that secures and manages funds and uses financial data to recommend strategies for improving performance
11	Outsourcing	Hiring another business to handle a function instead of doing it internally

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Sole proprietorship	LLC	Both have one or few owners who retain control — Sole prop = personal liability; LLC = liability shield
2	Partnership	Corporation	Both have multiple people in ownership — Partnership = owners retain control, personal liability; Corporation = owners cede control, liability shielded
3	Accounting	Finance	Both deal with money and financial data — Accounting = backward (records, statements); Finance = forward (funds, strategies)

#	Term A	Term B	Key Difference
4	Personal liability	Limited liability	Both describe who pays business debts — Personal = owners pay from pocket; Limited = only business assets at risk
5	Roles	Departments	Both describe who does what — Roles = how small teams divide work; Departments = how large businesses organize functions
6	Outsourcing	Core competency	Both involve a business function — Outsourcing = moving function out (cost-driven); Core competency = developing function in-house (competitive advantage)

Formulas and Quick Rules

Formula / Rule	Details
Control vs. funding tradeoff	More control → Less funding available Less control (corporation) → More funding accessible
Liability boundary	Sole prop + Partnership = Personal liability LLC + Corporation = Liability shield
3-question method	1. Who owns it? → 2. Who pays debts? → 3. How funded? → Structure identified
Accounting vs. finance	Preparing statements / tracking past money → Accounting Analyzing data / planning future strategy → Finance
Outsourcing triggers	Missing skills → Outsource High labor costs → Outsource

1.8 Supply Chains

Core Terms

#	Term	Definition
1	Artisan production	A production process that relies on skilled labor and close attention to detail, producing goods in smaller quantities
2	Mass production	A production process that relies on technology, assembly lines, and machinery to produce goods in far larger quantities
3	Supply chain	All of the individuals and businesses involved at each stage of producing and distributing a product — from raw materials to final customer delivery
4	Raw materials	The basic natural resources or inputs used to manufacture a product
5	Manufacturing facility	The location where workers and equipment turn raw materials into finished goods
6	Warehouse	A facility that emphasizes storage of finished goods
7	Distribution center	A facility that stores goods and moves them onward to stores and customers
8	Supplier	A business that buys materials/goods from one business and sells them to another
9	Distributor	A business that buys finished products from manufacturers and sells them onward to retail stores
10	Scaling	Building higher-capacity, more efficient supply chains so that revenue increases outrun cost increases
11	Service supply chain	Acquiring the employees, resources, and delivery systems needed to provide a service (in person or virtually)

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Artisan production	Mass production	Both produce physical goods — Artisan = skilled labor, small quantities; Mass = technology, large quantities
2	Warehouse	Distribution center	Both store goods — Warehouse = storage only; Distribution center = stores and moves onward
3	Supplier	Distributor	Both move goods between businesses — Supplier = materials into production; Distributor = finished goods out to retail
4	Buying inputs	Outsourcing	Both involve paying another business — Buying inputs = purchasing raw materials; Outsourcing = handing entire function to another business

#	Term A	Term B	Key Difference
5	Service supply chain	No supply chain	Services have no visible factory or warehouse — Services DO have supply chains made of people, resources, delivery systems
6	Cost increase	Scaling failure	Both show rising total costs — Scaling succeeds when revenue growth > cost growth; question is whether revenue rose faster

Formulas and Quick Rules

Formula / Rule	Details
Chain order	Raw materials → Manufacturing → Warehouse → Distribution/Retail → Customer
Warehouse vs. distribution center	Warehouse = storage; Distribution center = storage + forwarding
Five supplier factors	Cost, quality, efficiency, convenience, risk (the one that hides) — always weigh all five
Scaling success test	Revenue growth % > Cost growth % → scaling works
Strategy → chain	Be specific: cheaper input / better input / locked-up input — name the mechanism
Service chain	People + resources + delivery system — no factory, no warehouse
Three question shapes	(1) Order the stages, (2) Choose a supplier, (3) Match strategy to chain

UNIT 2

Marketing and Customers

2

2.1 Marketing to Customers

Core Terms

#	Term	Definition
1	Marketing	All activities a business undertakes to identify customers' problems, needs, and wants, and to promote, sell, and deliver products that meet them
2	Customer data	Information about customers that helps marketers decide which customers to serve, which products to produce, and how to market effectively and profitably
3	Demographic characteristics	Measurable qualities used to describe a population, such as age, sex, race, ethnicity, income, and location
4	Psychographic characteristics	Cognitive and behavioral factors within a population, including individuals' interests, activities, values, and lifestyles
5	Market segmentation	Aggregating potential customers into groups (market segments) based on shared demographic and psychographic characteristics
6	Market segment	A group of potential customers who share demographic and psychographic characteristics
7	Target customers	The buyers most likely to purchase a specific product because of their wants, needs, and preferences
8	Customer profile	A fictional description of a specific sample customer, incorporating demographic and psychographic data as well as wants, needs, and preferences
9	Personalized service	A relationship tactic that treats a customer as a known individual
10	Customer acquisition cost (CAC)	Total marketing, advertising, and sales costs used to acquire customers ÷ number of customers acquired
11	Lifetime value of a customer (LTV)	The estimated amount of money a customer will spend on the business's products over time
12	Data breach	An incident that exposes stored customer information to outsiders

Additional Terms

#	Term	Definition
1	Subscriber list	A digital tool that records who asked to hear from the business
2	Click-tracking software	A digital tool that records what visitors tap or click on a website
3	Social media monitoring	Reading what people say publicly about a product on social platforms

#	Term	Definition
4	Rewards program	A relationship tactic that gives repeat buyers a reason to return
5	Customer feedback opportunities	A relationship tactic (e.g., satisfaction surveys) that asks buyers what to fix
6	Identity theft	Using stolen personal details to impersonate a person
7	Fraud	Using deception, often powered by stolen data, to take money or property
8	Targeting efficiency	The cost and effectiveness advantage of designing products and marketing for a specific segment rather than appealing to a broad audience — targeting is more effective and less costly

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Demographic	Psychographic	Both describe customers — Demographic = measurable/census traits (who the person is) · Psychographic = cognitive/behavioral (what the person cares about)
2	Market segment	Customer profile	Both describe target customers — Segment = the group sharing traits · Profile = one fictional person who stands for the group
3	CAC	LTV	Both are per-customer numbers — CAC = what you spend to get a customer · LTV = what that customer spends on you over time
4	Advertising costs	Acquisition costs	Both involve spending to get customers — Advertising is one component; acquisition costs = marketing + advertising + sales (all of them)
5	Brand loyalty	Repeat purchase	Both describe coming back — Loyalty = emotional attachment to the brand · Repeat = buying again (may be convenience, not loyalty)
6	Privacy violation	Data breach	Both involve customer data problems — Privacy = collecting/storing without awareness or disclosure · Breach = data exposed to outsiders

Formulas and Quick Rules

Formula / Rule	Details
$CAC = (\text{marketing} + \text{advertising} + \text{sales costs}) \div \text{customers acquired}$	What it costs to win one customer
$LTV = \text{estimated total spending over time}$	What a customer is worth to you
$LTV - CAC$	Net value per customer

2.2 Consumer Behavior

Core Terms

#	Term	Definition
1	Rational decision-making process	A deliberate, step-by-step approach in which a consumer identifies a need, gathers information, evaluates alternatives, makes a purchase, and reviews the outcome
2	Habitual buying behavior	Low-involvement, routine purchasing in which a consumer repeats a familiar choice with little conscious evaluation
3	Personal factors	Individual characteristics—such as age, income, lifestyle, and personality—that shape what a consumer wants and can afford
4	Psychological factors	Internal mental processes—motivation, perception, learning, and beliefs—that influence how a consumer interprets and reacts to marketing
5	Social and cultural factors	External forces—family, reference groups, culture, and social class—that set norms and expectations for what a consumer considers acceptable or desirable
6	Situational influences	Temporary, context-specific conditions—such as time pressure, store atmosphere, or mood—that affect a purchase decision at the moment
7	Purchasing pattern	The observable regularity in a consumer's buying, defined by timing, frequency, and quantity of purchases
8	Consumer protection laws	Government regulations that safeguard buyers against unfair, deceptive, or unsafe business practices
9	Substitute products	Alternative goods or services that satisfy the same underlying need, giving consumers a choice when one option is restricted or unavailable
10	Scarcity	The perception that a product is limited in availability, which increases its psychological appeal and urgency to buy
11	Authority	The tendency to defer to people perceived as experts or credible sources when making purchase decisions
12	Consensus/social proof	The tendency to follow the actions of others, assuming that if many people buy something, it must be a good choice
13	Reciprocity	The felt obligation to give something back after receiving a favor, gift, or concession from a seller
14	Consistency	The desire to act in ways that are aligned with commitments one has already made, even small ones

Additional Terms

#	Term	Definition
1	Liking	The tendency to be persuaded by people or brands we find attractive, similar to us, or complimentary toward us
2	Unity	The feeling of shared identity—"we are the same kind of person"—that deepens influence beyond mere similarity
3	Face test	A personal ethics check: "Would I be comfortable if the tactic I'm using were fully disclosed to the customer?"
4	Consequential purchase	A high-stakes buying decision (large money, long commitment, high risk) that is more likely to trigger the rational decision-making process
5	Technology-driven purchasing shift	Changes in consumer purchasing patterns caused by technology and innovation — e.g., the internet and smartphones enabled online shopping, price comparison, peer reviews, and new information/entertainment channels

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Rational decision-making	Habitual buying	Both describe how consumers buy — Rational = deliberate, step-by-step evaluation · Habitual = automatic, low-involvement routine
2	Personal factors	Psychological factors	Both operate inside the individual — Personal = who you are (age, income, lifestyle) · Psychological = what you think and feel (motivation, perception, beliefs)
3	Social/cultural factors	Situational influences	Both are external forces on a decision — Social/cultural = permanent norms and group expectations · Situational = temporary, moment-specific conditions (time, mood, store atmosphere)
4	Consensus/social proof	Authority	Both rely on others' behavior or status — Consensus = "many people bought this" (quantity of buyers) · Authority = "an expert endorses this" (credibility of one source)
5	Reciprocity	Liking	Both involve a positive connection to the seller — Reciprocity = obligation from a favor received (give-back) · Liking = rapport from attraction or similarity (warmth)
6	Consistency	Unity	Both deepen commitment over time — Consistency = alignment with your own past actions (self-image) · Unity = alignment with a group's identity (belonging)

Formulas and Quick Rules

Formula / Rule	Details
<i>Purchasing pattern = timing + frequency + quantity</i>	Three observable dimensions of how a consumer buys
<i>Four tiebreakers when choosing between similar products</i>	Price, features, availability, advertising — the criteria consumers use when two options seem equal
<i>Face test = "Does the tactic survive full disclosure?"</i>	An ethical check: would you be comfortable if the customer saw exactly what you were doing?

2.3 Market Research

Core Terms

#	Term	Definition
1	Market research	The systematic process of gathering, analyzing, and interpreting information about a market, including potential customers and competitors, to guide business decisions.
2	Quantitative data	Numerical information that can be measured and expressed using numbers, such as sales figures, percentages, or survey ratings.
3	Qualitative data	Non-numerical information expressed in words, images, or observations, such as customer opinions, motivations, or feelings.
4	Desirability	Whether a product or service solves a real customer problem or fulfills a genuine need (problem-solution fit).
5	Feasibility	Whether the business has or can acquire the resources, technology, and capabilities needed to deliver the product or service.
6	Viability	Whether the product or service can generate sustainable profit and long-term financial success.
7	Secondary-source research	Analysis of data that already exists, such as government reports, industry publications, or competitor websites, to understand the broader market landscape.
8	Primary-source research	Collection of new, original data directly from target customers through methods like surveys, interviews, experiments, and observations.
9	Business hypothesis	A specific, testable assumption about a business idea (e.g., "Customers prefer Feature A over Feature B") that is fed INTO a research method for validation.
10	A/B testing	A controlled experiment that compares two versions (A and B) of a single variable—such as a webpage headline or pricing—by randomly assigning real customers to each version and measuring which performs better.
11	Survey	A structured set of questions distributed to a large number of respondents to collect primarily quantitative data on preferences, behaviors, or demographics.
12	Data visualization	The graphical representation of data through charts, graphs, or maps to make patterns, trends, and comparisons easier to understand.

Additional Terms

#	Term	Definition
1	Focus group	A moderated discussion with a small group of target customers (typically 6-10) to explore attitudes, perceptions, and reactions to a product or concept.

#	Term	Definition
2	One-on-one interview	A direct, in-depth conversation with a single respondent to gather detailed qualitative insights, often including follow-up questions.
3	Experiment	A controlled test in which a researcher deliberately changes one variable while holding others constant to observe the effect on behavior or outcomes.
4	Observation	A research method in which a researcher watches and records customer behavior in natural settings without altering the environment or interacting with subjects.
5	Bar chart	A chart that uses rectangular bars of varying heights to compare discrete categories or data points.
6	Stacked bar chart	A bar chart in which each bar is divided into segments representing sub-categories, showing both the total and the composition of each category.
7	Line graph	A graph that connects data points with lines to display trends or changes over a continuous period.
8	Pie chart	A circular chart divided into slices that represent the proportion or percentage share of each category within a whole.
9	Sample bias	A systematic error that occurs when the sample of respondents is not representative of the broader target population, leading to skewed or unreliable results.
10	Research method selection	The process of choosing which primary research method (survey, interview, focus group, experiment, A/B test, observation) to use based on the types of data needed to test a specific business hypothesis.
11	Research limitations	The reality that businesses cannot always accurately predict customer or market responses and must sometimes innovate with limited, unclear, or contradictory data — no research method eliminates all uncertainty.

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Quantitative	Qualitative	Both are types of data collected during research. — Quantitative = numbers you can count and graph (e.g., "72% prefer X"). Qualitative = words and images you interpret (e.g., "I like X because...").
2	Secondary	Primary	Both aim to understand the market. — Secondary = data that already exists (government stats, industry reports). Primary = data you collect yourself (surveys, interviews).

#	Term A	Term B	Key Difference
3	Hypothesis	Finding	Both relate to the research cycle. — Hypothesis = the assumption you feed IN before testing (e.g., "Feature A is preferred"). Finding = the result handed BACK after analysis (e.g., "Feature B was preferred 70%-30%").
4	A/B Test	Observation	Both study customer behavior. — A/B test = you deliberately change something (Version A vs. B) and compare outcomes. Observation = you watch behavior without changing anything.
5	Survey	Interview	Both collect customer input. — Survey = large sample, primarily quantitative, fixed questions, little or no follow-up. Interview = small sample, primarily qualitative, open-ended, with follow-up questions.
6	Desirability	Viability	Both assess whether to pursue a business idea. — Desirability = "Do customers want this?" (problem-solution fit). Viability = "Can we make money doing this?" (profitable path). A product can be desirable but not viable.

Formulas and Quick Rules

Formula / Rule	Details
A/B Test Math	A: $7/9 \approx 78\%$ B: $3/8 \approx 38\%$ → A wins by ~40 pp
Survey Base / Denominator	$30/120 = 25\%$ $30/200 = 15\%$ → Always report raw count WITH the base
Desirable → Feasible → Viability	1. Desirability — customer need? 2. Feasibility — can we deliver? 3. Viability — profitable path?
Secondary before Primary	Secondary first — cheaper, faster, refines primary questions
Sample Bias Red Flags	Convenience sampling (friends only) Voluntary response bias (passionate only) Undercoverage (missing a key demographic)

2.4 Product

Core Terms

#	Term	Definition
1	Idea Generation	The first stage of product development where businesses brainstorm new concepts or gather suggestions from customers.
2	Idea Screening	Evaluating potential product ideas by analyzing market size, competition, costs, and regulatory barriers before moving forward.
3	Prototype	A preliminary model of a product that can range from a simple visual mockup to a functional working version.
4	Concept Testing	Sharing a product idea with potential customers to confirm it solves a real problem they actually have.
5	Minimum Viable Product (MVP)	The most basic version of a product that includes only core features and that customers are willing to pay for.
6	Value Proposition	A statement that explains why a target customer should choose your product instead of a competitor's.
7	Manufacturing Planning	Deciding how and where a product will be produced, which begins after the MVP is validated through customer feedback.
8	Market Research	The process of gathering and analyzing data about customers, competitors, and market conditions to guide product decisions.
9	Brand	A name, term, design, symbol, or combination that identifies and differentiates a company's products from those of competitors.
10	Branding	The ongoing process of building a brand's identity so that customers develop trust and loyalty over time.
11	Brand Equity	The added financial and competitive value a product earns because customers recognize, trust, and prefer the brand.
12	Product Life Cycle (PLC)	A model describing the four stages every product passes through: introduction, growth, maturity, and decline.
13	Introduction Stage	The first PLC stage, marked by low sales, high costs, and a strategic focus on building customer awareness.
14	Maturity Stage	The PLC stage where sales peak, growth slows, the market is saturated, and competition is heaviest.
15	Product Portfolio Management	The practice of managing multiple products at different life cycle stages to balance risk and maintain steady revenue.
16	Product Messaging	The stage of product development focused on crafting the value proposition and product-positioning strategy to communicate the product's unique value to target customers

#	Term	Definition
1 7	Generic Product	A product sold without branding or a distinctive brand identity, targeting customers who prioritize cost savings over brand recognition

Additional Terms

#	Term	Definition
1	Growth Stage	The PLC stage where sales rise rapidly, profits begin to appear, and new competitors enter the market.
2	Decline Stage	The final PLC stage where sales drop and businesses must decide whether to reduce investment, discontinue, or reinvent the product.
3	Product Features	The specific attributes or functions of a product that deliver value to the customer.
4	Customer Feedback	Information collected from users about their experience with a product, used to guide refinements and improvements.
5	Target Market	The specific group of consumers a product is designed and marketed to serve (cross-topic: 2.1).
6	Market Saturation	A condition in which most potential customers already own or use a product, making further sales growth difficult.
7	Price Wars	Aggressive rounds of price cutting among competitors, most common during the maturity stage of the PLC.

2.5 Price

Core Terms

#	Term	Definition
1	Price	The amount of money a customer pays in exchange for a good or service.
2	Pricing Strategy	A deliberate method a business uses to set the price of its products in order to meet revenue and profit goals.
3	Value-Based Pricing	Setting a price based on the customer's perceived value — what they are willing to pay — rather than on costs alone.
4	Competitive Pricing	Setting a price by looking at what competitors charge for similar products and positioning accordingly.
5	Cost-Based Pricing	Calculating the total cost per unit and then adding a markup to determine the selling price (cost + desired profit = price).
6	Penetration Pricing	Setting a low initial price to attract customers quickly and gain market share, then gradually raising the price.
7	Dynamic Pricing	Adjusting the price of a product in real time based on current demand, supply, or other market conditions.
8	Loss-Leader Pricing	Selling a specific product below cost to draw customers into the store or platform, expecting they will also buy profitable items.
9	Pricing Power	The ability of a business to raise its prices without losing customers to competitors.
10	Price Elasticity of Demand	A measure of how sensitive customers are to a change in price — whether demand rises or falls significantly when price shifts.
11	Price Fixing	An illegal agreement between competitors to set prices at a certain level, eliminating genuine competition.
12	Price Gouging	Raising prices to unfair levels during a crisis or emergency, which is illegal in many states and countries.
13	Price Discrimination	Charging different prices to different customer segments for the same product; illegal when based on protected characteristics.

Additional Terms

#	Term	Definition
1	Elastic Demand	Demand that changes significantly when price changes — customers are highly price-sensitive.
2	Inelastic Demand	Demand that stays relatively stable even when price changes — customers are less price-sensitive.

#	Term	Definition
3	Markup	The amount added to the cost of a product to determine its selling price and generate profit.
4	Switching Costs	The time, money, or effort a customer must spend to change from one product or brand to another.
5	Price War	A situation where competing businesses continuously lower prices to undercut each other, often hurting profits industry-wide.
6	Perceived Value	The customer's belief about what a product is worth to them, influenced by brand, quality, and experience.

2.6 Place and Channels

Core Terms

#	Term	Definition
1	Place	Where and how customers access a business's products, whether through physical locations, online platforms, or membership-based models
2	Marketing channel	All the individuals and businesses involved in moving a finished product from the producer to the final customer
3	Distribution channel	A synonym for marketing channel — the path a product follows from production to the end user
4	Supply chain	The full network of people and businesses that produce and distribute a product, from raw materials through final delivery; the marketing channel is the final stage of this chain
5	Direct channel	A marketing path that connects the business straight to its customers with no intermediaries in between
6	Indirect channel	A marketing path that includes intermediaries such as wholesalers or retailers between the business and its customers
7	Intermediary	A third party — such as a wholesaler, retailer, or distributor — that sits between the producer and the final customer in a channel
8	Wholesaler	A business that buys products in bulk from manufacturers and resells them in smaller quantities to retailers or other businesses
9	Retailer	A business that sells products directly to the final consumer, either in physical stores or online
10	B2C channel	A marketing channel designed to deliver products from businesses directly to individual consumers, such as websites or retail stores
11	B2B channel	A marketing channel designed to deliver products from one business to another, often using industrial distributors
12	Legally mandated channel	A distribution path required by law for certain products — such as prescription medications or health-and-safety goods — that restricts how and where the product can be sold

Additional Terms

#	Term	Definition
1	Industrial distributor	A middleman that sells products to other businesses rather than to individual consumers; the standard B2B channel
2	Company-owned store	A retail location operated directly by the brand, giving the business full control over pricing, merchandising, and customer experience

#	Term	Definition
3	Club membership model	A retail format (e.g., Costco, Sam's Club) where customers pay a fee to access products, often at lower prices in bulk
4	Channel partner	Any external business — wholesaler, retailer, or distributor — that helps move a product to the final customer through an indirect channel
5	Channel conflict	Tension that arises when two or more channel partners compete for the same customers, such as a brand's website competing with its own retail partners

2.7 Promotion and Marketing Communications

Core Terms

#	Term	Definition
1	Marketing campaign	A coordinated effort that uses multiple promotional tools to promote a product or brand to customers
2	Promotional mix	The combination of tools a business uses to communicate its message to customers
3	Media advertising	Using mass-media channels (TV, radio, newspapers, billboards) to deliver the same message to a large audience at the same time
4	Personal selling	Direct, one-on-one interaction with a customer that provides detailed product information or a demonstration
5	Sales pitch	A short verbal presentation that conveys a product's value proposition to a potential buyer
6	Sales promotion	Short-term incentives like discounts or coupons designed to encourage rapid purchasing decisions
7	Direct marketing	Sending targeted messages (flyers, brochures) directly to a large number of potential customers
8	Public relations	Activities such as press releases and media interviews aimed at creating a favorable public image for the business
9	Consequential purchase	A high-involvement buying decision where the customer needs detailed, personalized information before committing
10	Routine purchase	A low-involvement buying decision that does not require extensive research or interaction before purchasing
11	Digital marketing	The use of the internet and digital tools — such as websites, email, social media, and mobile apps — to connect with customers
12	Traditional marketing	Offline promotional methods that existed before the internet, including TV, radio, print, and billboards
13	Big data	Large volumes of information collected digitally about customer responses, behaviors, and buying factors
14	Value proposition	A clear statement of the unique benefit a product offers that makes it worth buying

Additional Terms

#	Term	Definition
1	Brand loyalty	A customer's emotional attachment to a brand that drives repeat purchases over time
2	Brand awareness	The extent to which customers recognize and recall a particular brand

#	Term	Definition
3	Call to action (CTA)	A message designed to prompt an immediate response, such as "Buy now" or "Sign up today"
4	Return on marketing investment (ROMI)	The revenue generated relative to the amount spent on a marketing campaign
5	Target audience	The specific group of customers a marketing message is designed to reach
6	Personalization	Tailoring marketing messages to individual customers based on their data and preferences
7	Reach	The total number of distinct people exposed to a marketing message

UNIT 3

Financial Management

3

3.1 Saving for Future Purchases

Core Terms

#	Term	Definition
1	saving	Setting aside a portion of income for future use; creates a personal asset and may earn interest
2	income	Money earned by consumers, typically by working for an organization; can also come from self-employment, rental properties, government programs, investments, or retirement accounts
3	interest	Payment earned on savings, determined by the interest rate, the amount of savings, the type of savings vehicle, and conditions in the economy
4	interest rate	The percentage at which savings earn interest
5	savings vehicle	The type of account or instrument used to hold savings (e.g., savings account, CD, money market account)
6	automated savings plans	Programs that allocate a set amount of income to savings during each pay period
7	retirement savings plans	Programs that allow individuals to save on taxes when they save for retirement (e.g., 401k, IRA)
8	health savings accounts (HSAs)	Accounts that allow individuals to save on taxes when they allocate money for health-related expenses
9	inflation	An increase in the prices of goods and services; erodes the purchasing power of savings because money will buy fewer goods and services in the future
10	purchasing power	The value of money in terms of what it can buy; eroded by inflation
11	financial institutions	Organizations such as commercial banks and credit unions that offer savings vehicles
12	federally insured	Protection provided by the federal government on deposits at financial institutions (up to \$250,000), meaning the consumer does not lose their deposit if the bank goes out of business

Additional Terms

#	Term	Definition
1	barriers to saving	Factors that make saving difficult, including inconsistent income, recurring expenses that exceed income, instant gratification, lifestyle inflation, and impulse buying
2	instant gratification	A psychological force that makes saving difficult — the desire to spend now rather than save for the future

#	Term	Definition
3	lifestyle inflation	A psychological force that makes saving difficult — the tendency to increase spending as income rises
4	impulse buying	A psychological force that makes saving difficult — unplanned purchases driven by emotion
5	savings account	A deposit account at a financial institution that typically pays interest and is federally insured up to \$250,000; features vary by institution
6	money market account	Similar to a savings account, federally insured; may require a larger minimum deposit, charge higher fees, pay higher interest rates, and provide easier access to cash
7	certificate of deposit (CD)	Similar to a savings account, federally insured; typically pays higher interest than savings or money market accounts, but depositors are restricted from withdrawing funds for a set period
8	mobile payment accounts	Vehicles for storing savings that make money easy to spend; unless offered by insured institutions, not federally insured and typically do not pay interest
9	cryptocurrency accounts	Vehicles for storing savings that users hope will gain value as an asset; not federally insured and typically do not pay interest
10	cost of living	The amount of money needed to cover basic expenses; affected by economic conditions
11	PESTEL factors	Political, economic, social, technological, environmental, and legal forces that can impact the value of savings and incentives to save

3.2 Borrowing, Credit, and Debt

Core Terms

#	Term	Definition
1	borrowing	The act of obtaining money from a lender with the obligation to repay it with interest
2	loan	Borrowed money that must be repaid with interest
3	interest rate	The percentage charged on borrowed money; varies based on the lender, type of loan, amount borrowed, and borrower's credit history
4	repayment terms	The conditions under which a loan must be repaid (schedule, duration, penalties)
5	secured loans	Loans used to buy items that can serve as collateral, such as cars and houses; typically have lower interest rates
6	unsecured loans	General consumer loans that are not backed by collateral; typically have higher interest rates than secured loans
7	collateral	An asset that can serve as security for a loan; the lender can seize it if the borrower defaults
8	default	When a borrower fails to repay a loan according to the agreed terms
9	creditworthiness	A consumer's ability and likelihood to repay a loan, assessed by lenders based on income, savings, existing debt, and credit reports
10	credit reports	Documents created by credit bureaus that detail a consumer's past use of credit; created each time a consumer interacts with a financial institution
11	credit bureaus	Organizations that collect information each time a consumer interacts with a financial institution and create credit reports (also called credit reporting agencies)
12	credit score	A numerical reflection of a consumer's past use of credit, included in a credit report; can be shared with potential lenders, employers, landlords, insurance companies, and government agencies
13	bankruptcy	A legal process that eliminates some debts and helps the borrower set up a repayment plan for other debts; available to individuals who face negative consequences from unmanageable debt
14	consumer protection laws	Laws that require lenders to communicate credit terms clearly and explicitly to borrowers; govern debt collection tactics and prohibit discriminatory lending practices

Additional Terms

#	Term	Definition
1	liability / debt	An obligation to repay borrowed money; borrowing creates a personal liability or debt (connects to 3.3, 3.7)
2	credit card companies	Entities that lend money to consumers through credit cards
3	mortgage lenders	Entities that lend money to consumers for home purchases
4	alternative financial services	Services such as payday loans, check-cashing services, and instant tax refunds that lend money to consumers
5	payday loans	A type of alternative financial service — short-term, high-interest loans against a consumer's next paycheck
6	down payment	Using some income or saved money to pay part of the cost of a major purchase like a home or car; helps obtain better loan terms
7	debt management assistance	Help available to individuals who face negative consequences from unmanageable debt, such as property seizures
8	property seizures	A negative consequence of unmanageable debt — a lender can take the borrower's property if a secured loan is not repaid

3.3 Accounting and Financial Management

Core Terms

#	Term	Definition
1	financial transactions	Business activities such as buying resources, receiving payment from customers, distributing profits to owners, and saving and borrowing funds that affect assets, liabilities, and owners' equity
2	assets	Items of value owned by a business or individual
3	liabilities	Debts or obligations owed by a business or individual
4	owners' equity	The value of the business to its owners; the residual interest after subtracting liabilities from assets
5	net worth	For consumers, the difference between assets and liabilities
6	financial statements	Reports that summarize a business's financial performance, used to monitor financial health, guide decision making, provide accurate information to shareholders/investors/lenders, and ensure compliance with laws and reporting regulations
7	generally accepted accounting principles (GAAP)	Require corporations that sell ownership shares to the public to consistently disclose all positive and negative financial information for each reporting period, typically quarterly or annually
8	budget	An organized system for tracking financial transactions used by consumers to monitor finances and make decisions aligned to financial goals
9	accounting departments	Departments that identify and record all financial transactions during a time period and prepare financial statements
10	managerial accountants	Accountants who provide financial information and analysis to managers and other internal stakeholders for business planning and decision making
11	financial accountants	Accountants who provide financial information and analysis primarily to external stakeholders (shareholders, investors, and lenders)
12	finance departments	Departments responsible for analyzing financial data compiled by accounting departments and recommending strategies for maintaining or improving a business's financial performance
13	internal stakeholders	Managers and other individuals within the business who use financial information
14	external stakeholders	Shareholders, investors, lenders, and others outside the business who use financial information
15	financial advisors	Professionals consumers may hire to help with financial planning, decision making, and tax preparation

3.4 Business Expenses

Core Terms

#	Term	Definition
1	startup costs	One-time expenditures associated with launching a new business or product as well as initial expenses incurred while establishing the business
2	one-time expenditures	Costs incurred once at launch, including legal fees, incorporation and licensing fees, and in some cases equipment purchases
3	initial expenses	Expenses incurred while establishing the business (occupancy, R&D, marketing, insurance, initial inventories) that become ongoing once the business begins operation
4	direct costs	Costs tied to the production or delivery of specific goods or services
5	indirect costs	Costs associated with running the business, not tied to specific goods or services; also called operating expenses
6	fixed expenses	Costs that do not change with production or service levels (e.g., rent, insurance, base salaries)
7	variable expenses	Costs that increase as production/service levels increase (e.g., raw materials, hourly wages, packaging)
8	cost of goods sold (COGS)	Direct costs incurred by businesses that produce goods; includes raw materials, production supplies, production-related wages, and facility operating costs; components can be fixed or variable
9	cost of sales	Direct costs for businesses that provide services, including direct labor expenses, travel costs, and materials associated with delivering the service
10	operating expenses	Recurring indirect costs that are typically fixed; include occupancy, office/sales salaries, marketing, supplies, utilities, maintenance, and insurance
11	insurance	Protection purchased by businesses (and consumers) against financial losses from accidents, injuries, or property damage; some types are required, many are optional
12	risk tolerance	Willingness to accept risk and/or pay for insurance to minimize risk; varies among businesses and consumers

Additional Terms

#	Term	Definition
1	legal fees	A one-time startup expenditure for attorneys, contracts, and business formation
2	incorporation and licensing fees	One-time fees paid to government entities to legally establish the business and obtain operating permits

#	Term	Definition
3	occupancy expense	Cost of physical space for the business (rent, lease payments); becomes an ongoing operating expense
4	research and development (R&D)	Initial and ongoing expenses for developing new products or improving existing ones
5	raw materials	A variable component of COGS — the basic materials used to produce goods
6	production supplies	A component of COGS — materials used in the production process but not part of the final product
7	direct labor expenses	A component of cost of sales for service businesses — wages paid to workers who directly deliver the service
8	workers compensation insurance	A type of insurance required by law for businesses; covers employee injuries on the job

3.5 Financial Capital

Core Terms

#	Term	Definition
1	bootstrapping	Using personal savings, personal bank loans, and/or personal credit to fund startup costs
2	external financial capital	Cash obtained from outside sources to fund business operations
3	break even	The point at which a business covers all costs for a period; calculated by determining how many goods or services need to be sold
4	loans	A classification of financial capital that must be repaid with interest; interest on loans is a business expense
5	equity financing	A type of business funding that requires issuing ownership shares and ceding some control over decisions and a portion of future profits to investors, who become part owners
6	bonds	A financial instrument representing a loan from an investor to a business; can be issued by businesses organized as corporations
7	stock	An ownership share in a business; can be sold privately or publicly; can be issued by businesses organized as corporations
8	secondary market	A market where financial assets (loans, bonds, stock) can be resold after the initial issuance
9	financial assets	Loans (including bonds) or shares of stock obtained by lenders and investors in exchange for financial capital provided to businesses
10	dividends	Income representing an investor's share of a business's profits; some corporations reinvest earnings and do not pay dividends
11	capital gain	Profit achieved when an investor sells an asset at a higher price than they paid; prices change in response to business performance, investor demand, and PESTEL forces
12	annual rate of return	Determined by dividing the total dollars gained (income + capital gain) by the price of the asset
13	risk tolerance	Willingness of lenders and investors to take financial risks; higher risk tolerance → higher expected returns
14	business plan	A document including value proposition, market research, marketing strategy, and financial projections used to justify a funding request
15	pitch	A polished presentation summarizing key business information to persuade potential lenders and investors to provide capital
16	valuation	An estimate of what an ownership share is worth; based on financial reports, projections, and external industry data

#	Term	Definition
1 7	product-market fit	Evidence that a business's product meets a market need; a funding request is more likely to succeed when demonstrated

Additional Terms

#	Term	Definition
1	ownership shares	Portions of ownership in a business issued through equity financing; investors become part owners
2	business loans	Loans to businesses similar to personal loans; must be repaid with interest; interest is a business expense
3	business bank loans	Loans available to established businesses (typically 2+ years in operation) with proven revenue and capacity to repay
4	shareholder (investor)	An individual who buys a share of stock and becomes an owner in the business
5	financial projections	Estimates of future financial performance included in a business plan; used to justify funding requests
6	institutional lenders and investors	Organizations (banks, venture capital firms) as opposed to individuals that provide financial capital

3.6 The Income Statement

Core Terms

#	Term	Definition
1	income statement	A financial statement that compares total revenue to total costs over a time period to determine net profit or loss; also called the statement of profit and loss; typically provides multiple periods for comparison
2	revenue	Income generated by a business's core activities, such as sales of goods and services
3	cost of goods sold (COGS)	Direct costs of production; one of three major categories on the income statement
4	operating expenses	Indirect costs of running the business; one of three major categories on the income statement
5	gross profit	Profit earned after deducting only direct costs of production; calculated as revenue minus COGS
6	operating profit	Profit earned after deducting COGS and operating expenses; represents net income before interest and taxes; calculated as gross profit minus operating expenses
7	interest expense	The cost of borrowing money through loans (including bonds)
8	pretax income	Calculated by subtracting interest expense from operating profit
9	tax expense	Taxes paid on positive pretax income; included on the income statement
10	net profit	The final dollar amount on the income statement; calculated as pretax income minus taxes; known as the "bottom line"; represents profit earned by owners at the end of a period
11	gross profit margin	Calculated as gross profit ÷ total revenue; evaluates how successfully a business sets prices and manages direct costs
12	operating profit margin	Calculated as operating profit ÷ total revenue; evaluates how successfully a business markets, sells, and controls operating expenses
13	net profit margin	Calculated as net profit ÷ total revenue; evaluates overall profitability; the percentage of revenue that flows to owners as income
14	percent change	Calculated as $[(\text{Current Value} - \text{Initial Value}) \div \text{Initial Value}] \times 100$; used to determine the rate of change for any data point

Additional Terms

#	Term	Definition
1	statement of profit and loss	Another name for the income statement

#	Term	Definition
2	bottom line	Another name for net profit — the last line on the income statement
3	selling expenses	A category of operating expenses: advertising costs, salespeople's salaries, trade promotions
4	general and administrative expenses	A category of operating expenses: office salaries, rent on office space, insurance, IT
5	nonrecurring expenses	One-time costs that are not expected to repeat (e.g., lawsuit settlement, asset write-down)
6	projected income statements	Estimates of future revenues and expenses; help businesses plan for costs, identify funding needs, and maintain cash to meet obligations
7	budgets	Plans for revenues, costs, and resulting profit/loss for a period; for consumers, plans for net pay, savings, and expenses
8	net pay	Income after taxes and other deductions; used in consumer budgets
9	revenue projection	An estimate of future revenue based on planned pricing strategies and market research about customer demand and industry trends

Formulas and Quick Rules

Formula / Rule	Details
Gross Profit	Revenue – COGS
Operating Profit	Gross Profit – Operating Expenses
Pretax Income	Operating Profit – Interest Expense
Net Profit	Pretax Income – Tax Expense
Gross Profit Margin	Gross Profit ÷ Revenue
Operating Profit Margin	Operating Profit ÷ Revenue
Net Profit Margin	Net Profit ÷ Revenue
Percent Change	$[(\text{Current} - \text{Initial}) \div \text{Initial}] \times 100$

3.7 The Balance Sheet and Net Worth

Core Terms

#	Term	Definition
1	balance sheet	A financial statement that compares a business's assets to its liabilities and owners' equity at a specific point in time
2	balance sheet equation	Assets = Liabilities + Owners' Equity; also called the fundamental accounting equation
3	assets	Every item of value owned by a business, grouped by liquidity into current assets, long-term assets, and intangible assets
4	liquidity	The ease with which an asset can be converted into cash
5	current assets	Highly liquid assets including cash, short-term investments, accounts receivable, and inventory; used to fund day-to-day operations
6	accounts receivable	Money owed to a business by its customers; a current asset
7	inventory	Goods held by a business for sale or production; a current asset
8	long-term assets	Assets considered less liquid, including fixed assets and long-term investments
9	fixed assets	Long-term assets such as production plants, equipment, and vehicles used to run business operations
10	intangible assets	Non-physical items such as patents, brand names, and trademarks that have value because they represent potential revenue
11	liabilities	Debts or obligations owed by a business, grouped into current and long-term liabilities in order of when payment is due
12	current liabilities	Debts due within one year: accounts payable, short-term debt, current payments on long-term debt, and accrued operating expenses
13	accounts payable	Money owed to a business's suppliers; a current liability
14	long-term liabilities	Obligations to pay beyond one year, such as mortgages, bank loans, and long-term bonds
15	owners' equity	The difference between assets and liabilities; the net worth of a business to its owners; often comprised of stock and retained earnings
16	retained earnings	The business's cumulative profits not paid out as dividends; a component of owners' equity
17	working capital	Current assets minus current liabilities; measures whether a business has sufficient short-term resources to fund day-to-day operations

#	Term	Definition
1 8	bankruptcy	A legal process through which a business can liquidate assets, eliminate or repay debts, and either shut down or reorganize under legal supervision
1 9	personal net worth	Typically calculated for a household; determined by adding all household assets and subtracting all liabilities

Additional Terms

#	Term	Definition
1	accrued operating expenses	Expenses that have been incurred but not yet paid (e.g., wages earned but not yet disbursed, utilities used but not yet billed); a current liability
2	patents	An intangible asset — legal protection for an invention
3	brand names	An intangible asset — the value of customer recognition and reputation
4	trademarks	An intangible asset — legally protected symbols, names, or designs
5	positive net worth	When a business's assets exceed its liabilities
6	liquidate assets	Converting assets to cash as part of the bankruptcy process
7	household	May include more than one individual; the unit for which personal net worth is typically calculated

Formulas and Quick Rules

Formula / Rule	Details
Balance Sheet Equation	Assets = Liabilities + Owners' Equity
Owners' Equity	Assets – Liabilities
Working Capital	Current Assets – Current Liabilities
Current Ratio	Current Assets ÷ Current Liabilities
Personal Net Worth	Total Household Assets – Total Household Liabilities

3.8 The Cash Flow Statement

Core Terms

#	Term	Definition
1	cash flow statement	A financial statement that shows how cash inflows and outflows impact a business's cash balance over a financial reporting period
2	cash inflows	Payments that increase a business's cash balance; typically include customer payments, interest/dividends earned, proceeds from asset sales, and infusions of financial capital (e.g., new loans)
3	cash outflows	Payments that decrease a business's cash balance; typically include payments to employees and suppliers, interest expense, taxes, asset purchases, debt repayment, and dividends
4	cash balance	The amount of cash a business has on hand at a given time; monitored to ensure sufficient cash for recurring expenses, repaying lenders, and managing unforeseen expenses
5	positive cash flow	When cash inflows exceed cash outflows at the end of a period
6	negative cash flow	When cash outflows exceed cash inflows at the end of a period; may signal inability to pay current expenses, which could lead to shut down or bankruptcy even if net income is positive
7	financial obligations	Commitments a business must meet, including paying employees, suppliers, creditors, and shareholders

3.9 Ethics and Financial Reporting

Core Terms

#	Term	Definition
1	unethical practices in finance	Include misuse of funds, tax evasion, embezzlement, bribery, lack of transparency, and fraud (including falsifying information on financial statements)
2	misuse of funds	Using company money for unauthorized purposes; an unethical and illegal practice
3	tax evasion	Deliberately underreporting income or overstating deductions to reduce taxes owed; illegal
4	embezzlement	Stealing money from an organization by someone entrusted with access to its funds; illegal
5	bribery	Offering something of value to influence a decision; illegal
6	lack of transparency	Hiding relevant financial information from stakeholders; unethical
7	fraud	Deliberately misrepresenting financial data; can include falsifying information on financial statements; illegal
8	falsifying information	Altering financial statements to portray a financial situation as better or worse than it really is; used to influence stock prices, secure better loan terms, or avoid taxes
9	auditing	The process of reviewing financial records; under U.S. law, publicly held corporations must submit financial records annually for auditing by independent firms
10	financial market regulations	Regulations designed to ensure investors have access to accurate information and are protected from fraud
11	professional ethics codes	Codes maintained by professional organizations for accountants and financial managers; emphasize honesty, integrity, transparency, objectivity, and confidentiality
12	codes of conduct	Internal mechanisms developed by businesses to prevent unethical behavior
13	audit requirements	Internal mechanisms developed by businesses to prevent unethical behavior
14	cash-handling processes	Internal mechanisms developed by businesses to prevent unethical behavior

Additional Terms

#	Term	Definition
1	independent accounting firms	External firms that audit the financial records of publicly held corporations; must be independent of the company they audit

#	Term	Definition
2	honesty	Emphasized in professional ethics codes — being truthful in all professional communications
3	integrity	Emphasized in professional ethics codes — acting ethically even when under pressure
4	transparency	Emphasized in professional ethics codes — openly disclosing all relevant financial information
5	objectivity	Emphasized in professional ethics codes — not letting bias or pressure compromise professional judgment
6	confidentiality	Emphasized in professional ethics codes — protecting sensitive client information

UNIT 4

Management and Strategy

4

4.1 Management and Leadership

Core Terms

#	Term	Definition
1	Management	The process of planning, organizing, leading, and evaluating a business's use of human, financial, and physical resources to meet goals and objectives
2	Planning	The management function of setting goals and determining the actions needed to achieve them
3	Organizing	The management function of arranging resources and tasks to achieve the business's goals
4	Leading	The management function of motivating, directing, and guiding employees toward achieving goals
5	Evaluating	The management function of assessing performance against goals and making adjustments
6	Vision	A statement describing what the business aspires to become or achieve in the long term
7	Mission	A statement describing the business's fundamental purpose — why it exists and whom it serves
8	Core competency	A unique skill, knowledge, or capability that gives a business a competitive advantage
9	Outsourcing	Hiring an external company to perform tasks that are not part of the business's core competencies
10	Compensation	The total pay and benefits an employee receives in exchange for their work
11	Salary	A fixed annual amount paid to an employee, typically in equal installments regardless of hours worked
12	Commission	A variable payment based on a percentage of sales or deals closed by the employee
13	Hourly wage	A fixed amount paid per hour of work
14	Stakeholder	Any individual or group affected by or able to affect the business's decisions
15	Communication skills	The ability to express ideas clearly, communicate persuasively, listen empathetically, and correctly interpret and respond to feedback
16	Work arrangement	The type of employment relationship: full-time, part-time, temporary, or contract — chosen based on business needs

#	Term	Definition
1 7	Compensation factors	The criteria employers use to determine pay, including education, skills, and productivity

Additional Terms

#	Term	Definition
1	Piece rate pay	Compensation based on the number of units produced rather than hours worked
2	Profit sharing	A compensation scheme in which employees receive a percentage of the business's profits
3	Equity compensation	Stock options or stock grants that give employees partial ownership in the company
4	On-the-job training	Learning new skills while performing actual work tasks, often with a mentor or supervisor
5	Continuing education	Ongoing learning after initial training, including courses, certifications, and conferences
6	Apprentice program	A structured training program combining paid work with classroom instruction under a skilled mentor
7	PTO (Paid time off)	Compensated leave from work, including vacation, sick days, and personal days
8	HSA (Health savings account)	A tax-advantaged account used to pay for qualified medical expenses, often paired with a high-deductible health plan
9	Disability insurance	Insurance that replaces a portion of income if an employee cannot work due to illness or injury
1 0	Autonomy	The degree of independence and decision-making authority an employee has in their role

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Vision	Mission	Vision = what the business wants to become (future state). Mission = why the business exists (current purpose). Vision is aspirational; mission is operational.
2	Salary	Hourly wage	Salary = fixed annual amount, same each pay period regardless of hours. Hourly wage = paid per hour worked; varies with hours.
3	Commission	Profit sharing	Commission = based on individual sales performance. Profit sharing = based on overall company profits distributed to all eligible employees.

#	Term A	Term B	Key Difference
4	Core competency	Outsourcing	Core competency = what the business does BEST (keep in-house). Outsourcing = delegating tasks that are NOT core competencies to external providers.
5	Management	Leadership	Management = planning, organizing, leading, evaluating (process-oriented). Leadership = articulating vision, motivating people, building teams (people-oriented). A manager may not be a leader; a leader may not be a manager.

4.2 Evaluating Performance Using KPIs

Core Terms

#	Term	Definition
1	Key performance indicator (KPI)	A data point used to measure a business's performance, including progress toward short- and long-term goals and the effectiveness of strategy
2	Revenue	The total amount of money a business earns from its normal business activities (sales of goods or services)
3	Gross profit	Revenue minus cost of goods sold (COGS) — the profit remaining after deducting direct production costs
4	Gross profit margin	Gross profit divided by revenue, expressed as a percentage — measures production efficiency
5	Operating profit	Gross profit minus operating expenses — profit from core business operations before interest and taxes
6	Cost of goods sold (COGS)	The direct costs attributable to the production of goods sold, including materials and direct labor
7	Operating expenses	Costs required to run the business that are not directly tied to production, such as rent, salaries, and marketing
8	Cash flow	The net amount of cash moving in and out of a business during a specific period
9	Customer acquisition cost (CAC)	The total cost of marketing and sales efforts divided by the number of new customers acquired
10	Customer lifetime value (CLV)	The total revenue a business expects to earn from a single customer over the entire duration of their relationship
11	Customer retention rate	The percentage of customers who continue doing business with the company over a given period
12	Benchmark	A reference point used to compare data to a standard, based on internal historical data or external industry standards
13	Market share	The percentage of total sales in an industry captured by a specific business
14	Net Promoter Score (NPS)	A customer satisfaction metric measuring how likely customers are to recommend the business to others (scale: –100 to +100)

Additional Terms

#	Term	Definition
1	Cash burn rate	The rate at which a business spends its cash reserves, typically expressed as a monthly figure

#	Term	Definition
2	Cash runway	The amount of time (in months) a business can continue operating before running out of cash, calculated as cash on hand ÷ monthly burn rate
3	Operating profit margin	Operating profit divided by revenue, expressed as a percentage — measures overall operational efficiency
4	Per-unit cost	The total cost to produce one unit of a product, calculated as total production costs ÷ number of units produced
5	On-time delivery percentage	The percentage of orders delivered to customers by the promised date
6	Order accuracy	The percentage of orders fulfilled correctly without errors (wrong item, wrong quantity, damage)
7	Internal benchmark	A reference point based on the business's own historical data (e.g., comparing this quarter to last quarter)
8	External benchmark	A reference point based on industry standards or competitor data (e.g., comparing to industry average)
9	Diminishing returns	The principle that as investment in one area increases, the marginal benefit eventually decreases

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Revenue	Profit	Revenue = total money earned from sales. Profit = what remains after subtracting costs. A business can have high revenue but no profit (or a loss).
2	Gross profit margin	Operating profit margin	Gross profit margin = (Revenue – COGS) ÷ Revenue. Operating profit margin = (Revenue – COGS – Operating Expenses) ÷ Revenue. Operating margin is always lower because it includes more costs.
3	CAC	CLV	CAC = what it costs to GET a customer. CLV = what a customer is WORTH over their lifetime. A healthy business has CLV > CAC (ideally 3:1 or higher).
4	Internal benchmark	External benchmark	Internal = compared to your own past performance. External = compared to industry or competitor standards. Both are needed for a complete picture.
5	Cash flow	Cash burn rate	Cash flow = net cash in minus cash out (can be positive or negative). Cash burn rate = how fast you're spending cash (always expressed as a positive monthly figure). A negative cash flow means a positive burn rate.

#	Term A	Term B	Key Difference
6	KPI	Data point	A KPI is a data point selected because it directly measures progress toward goals. Not all data points are KPIs — only those tied to mission, profitability, or viability.

Formulas and Quick Rules

Formula / Rule	Details
Gross Profit	Revenue – COGS
Gross Profit Margin	$\text{Gross Profit} \div \text{Revenue} \times 100\%$
Operating Profit	Gross Profit – Operating Expenses
Operating Profit Margin	$\text{Operating Profit} \div \text{Revenue} \times 100\%$
CLV:CAC Ratio	$\text{Customer Lifetime Value} \div \text{Customer Acquisition Cost}$
Cash Runway	$\text{Cash on Hand} \div \text{Monthly Burn Rate}$
Customer Retention Rate	$(\text{Customers End} - \text{New Customers}) \div \text{Customers Start} \times 100\%$
Market Share	$\text{Business Revenue} \div \text{Total Market Revenue} \times 100\%$

4.3 Strategy and Decision Making

Core Terms

#	Term	Definition
1	Strategy	A plan or approach to achieving a goal; in business, how a company will achieve competitive advantage, fulfill its mission, or increase profits
2	Competitive advantage	A condition or circumstance that puts a business in a favorable or superior business position over its rivals
3	Tactics	Specific actions or approaches intended to advance the business's strategy
4	Strategic data	Information about financial performance, customers, competitors, and market trends that businesses gather and track to define, evaluate, and modify strategy
5	PACED model	A deliberative decision-making process: Problem, Alternatives, Criteria, Evaluate, Decide
6	Problem (PACED)	The first step — clearly defining the decision to be made or the challenge to address
7	Alternatives (PACED)	The second step — developing a list of possible options or courses of action
8	Criteria (PACED)	The third step — establishing the standards or factors by which alternatives will be judged
9	Evaluate (PACED)	The fourth step — assessing each alternative against the established criteria
10	Decide (PACED)	The fifth step — selecting the best alternative based on the evaluation
11	Return on investment (ROI)	A financial metric measuring the additional profit generated by an investment, divided by the cost of the investment
12	Decision-making criteria	The standards, factors, or benchmarks used to evaluate and compare alternatives
13	Quantifiable criteria	Measurable, numerical factors such as costs, revenues, profits, and timelines
14	Intangible criteria	Non-numerical factors such as reputation, mission alignment, employee morale, and brand impact

Additional Terms

#	Term	Definition
1	Strategic framework	A structured tool or model used to systematically evaluate variables relevant to a business decision

#	Term	Definition
2	Weighted scoring matrix	A decision-making tool that assigns weights to criteria and scores each alternative, producing a numerical ranking
3	Market considerations	Factors related to competitiveness, market share, and customer demand that influence a decision
4	Operational considerations	Factors related to production, supply chain, and day-to-day operations that influence a decision
5	Organizational considerations	Factors related to employees, culture, and organizational structure that influence a decision
6	Resource mobilization	The process of directing financial, human, and physical resources toward a strategic goal
7	Imperfect decision making	Decisions made with conflicting criteria and limited or incomplete data, requiring judgment and trade-offs

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Strategy	Tactics	Strategy = the overall plan ("expand into retail"). Tactics = specific actions to execute the plan ("attend trade show," "hire sales rep"). Strategy is "what and why"; tactics are "how."
2	Quantifiable criteria	Intangible criteria	Quantifiable = measurable numbers (ROI, cost, revenue). Intangible = non-numerical (reputation, morale, mission). Both matter in decision making.
3	ROI	Revenue	Revenue = total money earned. ROI = the return generated relative to the investment cost. A project can have high revenue but low ROI if the investment was very large.
4	Problem	Alternatives (PACED)	Problem = what you're trying to solve. Alternatives = the possible solutions. You must define the problem before developing alternatives.
5	Competitive advantage	Strategy	Competitive advantage = the favorable position itself (what you have). Strategy = the plan to achieve or maintain that position (how you get/keep it).

4.4 Strategic Frameworks: Porter's Five Forces and SWOT

Core Terms

#	Term	Definition
1	Porter's Five Forces	A framework developed by Michael Porter to evaluate the competitive intensity, attractiveness, and potential profitability of a competitive environment
2	Competitive rivalry	The intensity of competition among existing businesses in a market, determined by the number of competitors, product differentiation, and pricing power
3	Threat of new entrants	The risk that new businesses will enter the market and increase competition; determined by barriers to entry
4	Barriers to entry	Obstacles that make it difficult for new businesses to enter a market, such as high capital requirements, brand loyalty, regulations, and economies of scale
5	Threat of substitute products	The risk that customers will switch to alternative products that meet the same need but are not direct competitors
6	Customer (buyer) power	The ability of customers to influence pricing and terms, shaped by the number of customers, acquisition costs, and switching costs
7	Supplier power	The ability of resource providers to raise input costs, shaped by the number of suppliers and the cost of switching to alternatives
8	Switching costs	The monetary and psychological costs a customer incurs when changing from one product or brand to another
9	SWOT analysis	A framework evaluating internal (Strengths, Weaknesses) and external (Opportunities, Threats) factors that influence a business's ability to accomplish its goals
10	Strengths	Internal advantages a business controls, such as core competencies, brand recognition, skilled employees, and financial resources
11	Weaknesses	Internal disadvantages a business faces, such as missing competencies, limited funds, outdated technology, and poor customer service
12	Opportunities	External factors beyond a business's control that may contribute to success, such as market growth, technology advancements, and favorable regulations
13	Threats	External factors beyond a business's control that may negatively impact the business, such as rising costs, natural disasters, and disruptive innovation
14	PESTEL	A framework analyzing external macro-environmental factors: Political, Economic, Social, Technological, Environmental, and Legal

Additional Terms

#	Term	Definition
1	Competitive environment	The overall market conditions in which businesses compete, including the number and strength of competitors, customers, and suppliers
2	Product differentiation	The degree to which a product is perceived as unique or distinct from competitors' products
3	Pricing power	A business's ability to raise prices without losing customers to competitors
4	Economies of scale	Cost advantages that businesses obtain due to their scale of operation, where cost per unit decreases as output increases
5	Intangible assets	Non-physical assets such as brand recognition, reputation, intellectual property, and company culture
6	Intellectual property	Creations of the mind — inventions, designs, brand names, and trade secrets — legally protected from unauthorized use
7	Disruptive innovation	An innovation that fundamentally changes the way customers meet their needs, often displacing established businesses
8	Input costs	The prices paid for raw materials, component parts, and resources needed to produce goods or services
9	Resource market	The market in which businesses purchase the inputs they need to produce their products (e.g., grain market, labor market)

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Strengths	Opportunities	Strengths = internal factors the business CONTROLS (e.g., skilled employees). Opportunities = external factors the business CANNOT control (e.g., market growth). The key test: can the business directly change it?
2	Weaknesses	Threats	Weaknesses = internal disadvantages (e.g., limited budget). Threats = external risks (e.g., new competitor enters). Weaknesses can be fixed by the business; threats must be responded to.
3	Competitive rivalry	Threat of new entrants	Rivalry = competition from EXISTING businesses. New entrants = competition from businesses that DON'T EXIST YET but could enter the market.
4	Customer power	Supplier power	Customer power = buyers' ability to push prices DOWN . Supplier power = sellers' ability to push input costs UP . Both squeeze the business's margins from different sides.

#	Term A	Term B	Key Difference
5	Substitute products	Direct competitors	Substitutes = different products that meet the same need (e.g., food truck vs. restaurant). Direct competitors = same type of product (e.g., restaurant vs. restaurant).
6	Porter's Five Forces	SWOT analysis	Five Forces = evaluates ONLY the external competitive environment (industry attractiveness). SWOT = evaluates BOTH internal (S, W) and external (O, T) factors. Five Forces is an input to the "T" in SWOT.
7	Barriers to entry	Switching costs	Barriers to entry = obstacles for NEW BUSINESSES entering the market. Switching costs = costs for CUSTOMERS changing brands. Both protect existing businesses but from different threats.

UNIT 5

Personal Finance

5

5.1 Taxes, Net Income, and Budgeting

Core Terms

#	Term	Definition
1	Income tax	A percentage of income paid to federal, state, and/or local governments; for employees, a portion is withheld from each paycheck by the employer
2	Capital gains tax	A tax paid on the profit earned from selling an asset (e.g., stocks, property) at a higher price than the purchase price; typically taxed at a lower rate than income tax
3	Payroll tax	Taxes withheld from employee paychecks that fund specific government insurance programs, including Social Security, Medicare, Medicaid, and unemployment benefits
4	Property tax	A tax based on the value of an individual's property (houses, land, cars), paid to local or state government
5	Sales tax	A tax based on the sales price of an item, collected by the business at the point of sale and submitted to the government
6	Progressive tax	A tax system in which individuals earning higher incomes pay higher tax rates; the U.S. federal income tax is progressive
7	Tax deduction	An expense that reduces an individual's taxable income, thereby reducing the taxes owed (e.g., mortgage interest, retirement contributions, charitable donations)
8	Tax credit	A direct reduction in the amount of taxes owed (not taxable income); more valuable than a deduction of the same amount
9	Gross income	The total amount of income earned during a pay period before any deductions
10	Net income (net pay)	The amount of money an individual receives after all deductions (taxes, benefits, retirement) are subtracted from gross income
11	Pay stub	A document provided by an employer showing gross income, mandatory and voluntary deductions, and net income for a pay period
12	Mandatory deduction	Amounts required by law to be withheld from a paycheck, including federal/state income taxes and payroll taxes
13	Voluntary deduction	Amounts an employee chooses to have withheld for benefits such as health insurance, retirement savings, and life insurance

Additional Terms

#	Term	Definition
1	Taxable income	Gross income minus tax deductions; the amount of income on which taxes are actually calculated

#	Term	Definition
2	Tax refund	Money returned to a taxpayer when the amount withheld from paychecks exceeds the actual tax owed for the year
3	Withholding	The practice of an employer deducting estimated taxes from each paycheck and sending them directly to the government
4	Pretax deduction	A deduction taken from gross income before taxes are calculated, reducing taxable income (e.g., 401(k) contributions, HSA contributions)
5	Social Security	A federal program providing retirement, disability, and survivor benefits, funded by payroll taxes shared between employer and employee
6	Medicare	A federal health insurance program for people 65+ and certain younger individuals with disabilities, funded by payroll taxes
7	Self-employment tax	The full payroll tax (both employer and employee portions) that self-employed individuals and contractors must pay themselves
8	Filing status	A classification (single, married filing jointly, head of household, etc.) that determines tax brackets and standard deduction amounts
9	Budget	A plan for how an individual or household will allocate income toward expenses, savings, and debt repayment over a specific period

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Tax deduction	Tax credit	Deduction reduces TAXABLE INCOME (you save your tax rate $\times$ the deduction). Credit reduces TAXES OWED directly (a \$1,000 credit saves you exactly \$1,000). Credits are more valuable.
2	Gross income	Net income	Gross = total earnings BEFORE deductions. Net = what you actually TAKE HOME after all deductions. Net can be significantly lower than gross.
3	Mandatory deduction	Voluntary deduction	Mandatory = required by law (income tax, payroll tax). Voluntary = chosen by employee (health insurance, 401(k), union dues). You can change voluntary deductions; you cannot opt out of mandatory ones.
4	Income tax	Payroll tax	Income tax = general tax on earnings funding government operations. Payroll tax = specific tax funding Social Security and Medicare. Both are withheld, but they fund different things.

#	Term A	Term B	Key Difference
5	Progressive tax	Flat tax	Progressive = higher income → higher tax rate (U.S. federal system). Flat = same rate for all income levels. The U.S. uses progressive; some states use flat tax.
6	Pretax deduction	Post-tax deduction	Pretax = deducted BEFORE taxes calculated → reduces taxable income (e.g., 401(k)). Post-tax = deducted AFTER taxes calculated → does not reduce taxable income (e.g., Roth 401(k)).

5.2 Managing Personal Risk

Core Terms

#	Term	Definition
1	Insurable risk	A risk that involves a potential loss due to chance, is quantifiable, and is statistically predictable, allowing an insurer to estimate cost and likelihood
2	Personal risk	An insurable risk involving the health and well-being of the insured individual, such as injury from an accident or suffering from illness
3	Property risk	An insurable risk involving loss or damage to the insured individual's property, such as their home or car
4	Liability risk	An insurable risk involving damage caused to another person's property or health, such as damage from reckless driving
5	Health insurance	Insurance that reimburses policyholders for medically necessary healthcare and sometimes preventive care; may be provided as an employee benefit
6	Auto insurance	Insurance covering financial losses from car accidents, damage to the insured's vehicle, and liability for damage caused to others
7	Homeowner's insurance	Insurance covering financial losses to a home and its contents, as well as liability for injuries that occur on the property
8	Renter's insurance	Insurance covering a renter's personal property and liability, but not the building itself (which is the landlord's responsibility)
9	Life insurance	Insurance that provides funds to designated beneficiaries in the event of the insured person's death, intended to replace lost income or fund dependents' needs
10	Premium	The amount an insurance buyer pays (annual, semi-annual, or monthly) for an insurance policy
11	Claim	A formal request filed by the policyholder to the insurance company for reimbursement after a covered financial loss
12	Risk tolerance	An individual's willingness and ability to accept uncertainty or potential financial loss; affects insurance and investment decisions
13	Insurance fraud	A crime involving misrepresentation or falsified claims by policyholders, or misrepresentation of policies/benefits by insurance sellers
14	Predatory lending	Deceptive or aggressive lending practices that exploit borrowers, often through high fees, hidden terms, or pressure tactics
15	Personal financial risk	The risk of financial loss due to events such as car accidents, illness, property damage, or liability — individuals face both financial and physical risks in daily life

#	Term	Definition
1 6	Legal insurance requirement	Insurance coverage mandated by law, such as auto liability insurance required by most U.S. states and property insurance required by mortgage lenders
1 7	Dependent coverage	Additional insurance needs that arise when an individual has dependents (spouse, children), including family health insurance, multiple vehicle policies, and higher life insurance amounts
1 8	Risk reduction	Actions taken to lower insurance premiums by reducing risky behavior — e.g., maintaining a good driving record (auto insurance) or not smoking (life insurance)

Additional Terms

#	Term	Definition
1	Deductible	The amount the policyholder must pay out of pocket before insurance begins covering costs; higher deductibles typically mean lower premiums
2	Coverage	The total amount of protection provided by an insurance policy; the maximum the insurer will pay for a covered loss
3	Beneficiary	The person designated to receive funds from a life insurance policy upon the insured person's death
4	Extended warranty	A service contract on an expensive purchase (car, appliance) that extends the manufacturer's warranty and covers repairs beyond the original terms
5	Identity theft	The fraudulent acquisition and use of someone's personal information (SSN, credit card numbers) for financial gain
6	Phishing	A fraudulent attempt to obtain personal or financial information by disguising as a trustworthy entity in electronic communications
7	Credit freeze	A tool that restricts access to an individual's credit report, preventing identity thieves from opening new accounts in the person's name
8	Nonprofit credit counselor	A professional from a nonprofit organization who provides free or low-cost advice on managing debt, budgeting, and avoiding predatory loans

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Premium	Deductible	Premium = what you PAY regularly to have insurance. Deductible = what you PAY out of pocket when you FILE a claim. Higher deductible → lower premium (and vice versa).

#	Term A	Term B	Key Difference
2	Personal risk	Property risk	Personal risk = harm to YOUR BODY (injury, illness). Property risk = harm to YOUR THINGS (home, car). Both are insurable, but different policies cover each.
3	Liability risk	Property risk	Liability = damage YOU cause to OTHERS or THEIR property. Property = damage to YOUR OWN property. Auto insurance covers both: collision (your car) + liability (the other car).
4	Tax credit	Insurance claim	Tax credit = reduces taxes you owe to the government. Insurance claim = request for reimbursement from your insurance company after a loss. Both give you money back, but from different sources.
5	Predatory lending	Insurance fraud	Predatory lending = the LENDER exploits the borrower. Insurance fraud = the POLICYHOLDER or INSURER commits a crime. Both are illegal and harmful to consumers.
6	Homeowner's insurance	Renter's insurance	Homeowner's = covers the BUILDING + contents + liability. Renter's = covers CONTENTS + liability only (not the building). The landlord's policy covers the building for renters.

5.3 Saving and Investing for Education, Housing, and Retirement

Core Terms

#	Term	Definition
1	Financial asset	A resource with monetary value that an individual owns, including savings accounts, CDs, stocks, bonds, and mutual funds
2	Savings account	A deposit account at a bank or credit union that earns interest; federally insured (FDIC/NCUA), low risk, low return
3	Certificate of deposit (CD)	A savings instrument with a fixed term and fixed interest rate; penalties for early withdrawal; federally insured
4	Stock	A share of ownership in a company; value depends on the company's performance; higher risk, higher expected return
5	Bond	A loan made by an investor to a borrower (government or corporation); pays fixed interest; generally lower risk than stocks
6	Mutual fund	An investment that pools money from many investors to buy a diversified portfolio of stocks and/or bonds
7	Compounding	The process by which investment returns generate their own returns over time; starting early leads to significantly greater wealth
8	Risk-return tradeoff	The principle that financial assets with higher potential returns also carry higher potential risk of loss
9	Inflation	The rate at which the general level of prices rises over time, decreasing the purchasing power of money
10	Diversification	A strategy of allocating funds across a variety of financial assets with different risk levels to seek higher returns without excessive risk
11	Time horizon	The length of time an investor expects to hold an investment before needing the money; affects asset allocation choices
12	Social Security	A U.S. federal program providing retirement income funded by payroll taxes; one source of retirement funding
13	Mortgage	A loan used to purchase real estate, where the property serves as collateral; repayment terms include principal, interest, and duration
14	Student loan	A loan used to finance postsecondary education; federal loans typically have lower interest rates and more favorable terms than private loans

Additional Terms

#	Term	Definition
1	Nominal return	The rate of return on an investment before adjusting for inflation

#	Term	Definition
2	Real return	The rate of return on an investment after adjusting for inflation; reflects actual purchasing power gained
3	Capital gain	The profit earned when an investment is sold for more than its purchase price
4	Dividend	A distribution of a portion of a company's earnings to its shareholders
5	Interest	The cost of borrowing money (paid by borrower) or the return earned on savings/investments (paid to saver)
6	Transaction fee	A cost charged each time an investment is bought or sold
7	Management fee	An ongoing fee charged by a mutual fund or financial advisor for managing investments
8	Discount brokerage	A firm that charges lower fees for buying/selling investments but provides less personal advice than a full-service firm
9	Behavioral bias	Psychological tendencies (overconfidence, loss aversion) that cause investors to make irrational decisions
10	Overconfidence bias	A behavioral bias causing investors to overestimate their ability to predict market movements, leading to excessive risk-taking
11	Loss aversion bias	A behavioral bias causing investors to feel losses more acutely than gains, leading to premature selling at a loss
12	Down payment	An upfront cash payment representing a percentage of a home's purchase price; the rest is financed with a mortgage
13	Fixed-rate mortgage	A mortgage with an interest rate that stays the same for the entire loan term
14	Adjustable-rate mortgage (ARM)	A mortgage with an interest rate that can change over time based on market conditions
15	Scholarship	Financial aid awarded based on merit (academic, athletic, artistic) that does not need to be repaid
16	Grant	Financial aid awarded based on financial need that does not need to be repaid
17	Work-study program	A federal financial aid program providing part-time employment to students to help pay for education expenses
18	401(k)	An employer-sponsored retirement savings plan allowing employees to contribute pretax dollars; employers may match contributions
19	IRA (Individual Retirement Account)	A personal retirement savings account with tax advantages; traditional IRA (tax-deferred) or Roth IRA (tax-free growth)
20	Charitable giving	Donations to nonprofit organizations; may provide tax deductions and align with personal values and mission

#	Term	Definition
2 1	Long-term financial goals	Major financial objectives that individuals or households plan for over years or decades, including paying for postsecondary education, buying a home, and saving for retirement
2 2	Family financial planning	The process of discussing and sharing long-term financial goals between partners or family members to reduce potential financial conflict and align priorities
2 3	Automated savings technology	Financial technology tools — such as automated savings transfers, payroll deductions for retirement accounts, and round-up savings apps — that help individuals overcome barriers to saving
2 4	Financial advisor	A professional who helps individuals evaluate saving and investment options; selection criteria include licensing, certifications, education, experience, and cost
2 5	Investment benchmarking	The practice of comparing the performance of financial assets against a standard index (e.g., S&P 500 for stocks, Bloomberg Aggregate Bond Index for bonds) to assess returns

Trap Pairs - Know the Difference

#	Term A	Term B	Key Difference
1	Stock	Bond	Stock = OWNERSHIP in a company (higher risk, higher return). Bond = a LOAN to a company/government (lower risk, lower return). Stockholders own; bondholders lend.
2	Nominal return	Real return	Nominal = return BEFORE inflation adjustment. Real = return AFTER inflation adjustment. A 7% nominal return with 3% inflation = 4% real return.
3	Tax deduction	Tax credit	Deduction reduces TAXABLE INCOME. Credit reduces TAXES OWED directly. A \$1,000 deduction at 22% tax rate saves \$220; a \$1,000 credit saves \$1,000.
4	Scholarship	Grant	Scholarship = based on MERIT (academic, athletic, artistic achievement). Grant = based on NEED (financial situation). Neither needs to be repaid.
5	Fixed-rate mortgage	Adjustable-rate mortgage	Fixed = interest rate NEVER changes → predictable payments. Adjustable = interest rate CAN change → payments may increase or decrease.
6	401(k)	IRA	401(k) = employer-sponsored (higher contribution limits, possible employer match). IRA = individual account (more investment choices, lower limits). Both offer tax advantages for retirement.

#	Term A	Term B	Key Difference
7	Overconfidence bias	Loss aversion bias	Overconfidence = thinking you're BETTER at investing than you are → takes too much risk. Loss aversion = feeling losses TOO ACUTELY → sells too early to avoid further loss. Both lead to poor returns.
8	Transaction fee	Management fee	Transaction fee = one-time cost PER TRADE. Management fee = ongoing annual cost for fund management (often as % of assets). Both reduce your return.
9	Savings account	CD	Savings account = withdraw ANYTIME, lower interest. CD = locked for a FIXED TERM, higher interest, penalty for early withdrawal. Both are federally insured.
10	Capital gain	Dividend	Capital gain = profit from SELLING an asset for more than you paid. Dividend = regular CASH PAYMENT from company earnings to shareholders. Both are forms of investment return but earned differently.